

**SAMPLE/DRAFT Communication to Participant
(To Be Placed on Company Letterhead)**

Dear <Participant Name>

We are writing to let you know that <\$0.00> will be withdrawn from your plan account as the Annual Additions (IRC 415) limit has been exceeded for the plan year ending 2026. This amount includes a refund of <\$0.00> which is your own employee contributions, plus any positive applicable earnings, negative earnings are not included. In addition, if there are any employer contributions, plus applicable earnings, they will be forfeited as required by IRS regulations.

The Annual Additions (IRC 415) limit for the plan year ending 2026 is the lesser of \$72,000 or 100% of a participant's compensation for the year.

Sources of money included within the 415 (Annual Additions) limit are:

- employer contributions
- employee deferral contributions (i.e. pre-tax employee deferrals, Roth)
- employee post-tax contributions (i.e. voluntary after tax)
- forfeitures allocated to the participant for the plan year (or applicable limitation-year)

What does exceeding the Annual Additions (IRC 415) limit mean to you as a participant?

1. The excess annual addition and attributable match (if applicable) must be removed from your account.
2. The excess amount refunded to you will be taxed to you in the year of distribution.
3. The distribution is subject to a 10% federal income tax, unless waived by completing a Form W-4R indicating you do not want taxes withheld or you want a different amount withheld.
4. The distribution is not subject to the following:
 - a. 20% mandatory tax withholding; or
 - b. the additional 10% tax if you are under age 59½.
5. The distribution is not eligible for rollover to another qualified plan or IRA.
6. You will receive a Form 1099-R for the calendar year in which the refund was made.

If you have any questions, please contact me.